

Q1.

The key issue facing management is profitability (and ability to generate free cash flow) and, relatedly, whether the airline can survive as an independent player; put simply, management needs to ask whether RegionFly's traditional business model is still viable.

RegionFly's original model focused on delivering "outstanding performance in customer service and flight quality" to its customers. The company focused on seven routes in the south-eastern US with no ambition to grow beyond this. The company charged premium prices, including for the premium cabin, which its customers had been willing to pay given the quality of its service – apparently, this focus on high quality and customer service was a differentiating factor and a source of competitive advantage.

The traditional model is challenged due to two factors. First, the emergence of low-cost carriers (LCCs) meant that competitors had emerged that offered coach- (economy) class passengers a lower cost alternative. To compete with LCCs, RegionFly would have to ensure the quality of its product was sufficiently high and differentiated to justify its higher fares. Second, the global recession meant that some RegionFly customers who had previously been willing to pay its premium fares were no longer willing and able to do so (including business customers who paid a premium price for the premium cabin), putting pressure on the fares it could charge and so on its profit margins. (One might also question whether a "no growth" strategy is feasible for an entity if its objective is to maximize value – being a "no growth" "cash cow" may make sense for a family-owned business looking to generate a stable stream of dividends but it would not work for an ownership that wants to increase value.)

RegionFly's original goal, which formed the basis for its business model, as espoused by Baldwin King (its founder), was to focus on its "core values of customer service and flight quality" rather than growing the airline or maximizing profits or shareholder value (it is not clear who owned the airline initially). As we learn later in the case, RegionFly was a public company. Are the goals espoused by Baldwin consistent with shareholders' objectives (of value maximization)?

After the airline was acquired in October 2017 (and to some extent after 2016, when it was clear that profitability was challenged) the focus changed to improving profitability, presumably with the goal of maximizing value for the new owner. [The actions taken by the company – to drop Routes 2 and 4 and cut costs – were based on what were *perceived* to be poor results for 2016. An important question to consider in evaluating these actions is whether the weak results for 2016 (they are weaker than in 2015, with revenues down 5% and costs—variable and overhead—up 4%) are due to factors specific to RegionFly or to macro/sector-wide factors. If the latter, then not clear RegionFly should take any action – perhaps profitability will naturally revert to previous levels once the economy/sector improves.]

As discussed in class, an important question here is which metric management should maximize – is it profit margin (on a % basis) or is it \$ of pre-tax profit (or something else)? Without knowing that, it is hard to make any decisions.

Q2. Analysis of Cost Behavior

Key Question: Would this cost/expense increase as we increase the level of activity (number of flights)? If yes, then cannot be fixed cost. Activity (routes and flights flown) was cut back substantially in 2017 -- which costs dropped?

One possible measure of activity is variable direct costs (variable costs naturally track the associated measure of activity).

	2015	2016	2017	2018
Total Variable Direct Costs	1,013,732	1,053,342	771,782	722,206

Overhead by account (with % of total variable direct costs in each year).

1000	V	755,242	0.745	787,084	0.747	576,695	0.747	538,631	0.746	Variable	These numbers and the description both point to these costs being variable
2000	M	134,865	0.133	138,900	0.132	117,983	0.153	111,485	0.154	Mixed	Reservations and Sales personnel costs likely to be step costs
3000	V	485,512	0.479	510,102	0.484	373,751	0.484	349,082	0.483	Variable	These numbers and the description both point to these costs being variable
4000	F	755,242	0.745	783,004	0.743	761,080	0.986	717,969	0.994	Fixed	Although landing fees may be variable
5000	F	269,729	0.266	281,473	0.267	264,022	0.342	242,362	0.336	Fixed	Numbers don't drop down, which, along with description, suggests fixed (although at some point can dispose of aircraft, facilities)
6000	F	53,946	0.053	56,287	0.053	53,585	0.069	47,592	0.066	Fixed	Numbers don't drop down, which, along with description, suggests fixed
7000	V	242,756	0.239	252,165	0.239	184,761	0.239	172,566	0.239	Variable (	Conclusion is based on these numbers; description suggests these may be step costs.
		2,697,292	2.661	2,809,015	2.667	2,331,877	3.021	2,179,687	3.018		

Total overhead declines by 17% in 2017.

Additional thoughts (not required as part of answer)

We might think about what additional information we might want. What we'd like to have here is other measures of activity to better understand what drives these various costs. For example, what drives variation in category 2000 (reservations and sales costs)? Is there a better activity measure than the variable direct costs?

Another obvious level of activity is revenues (which presumably track customer spend and so flight activity)

We can understand cost behavior using a "common size" income statement (i.e., we analyze costs/expenses as a % of top-line revenue)

Income Statements

	2015		2016		2017		2018	
Revenue	6,002,529		5,713,233		4,416,922		4,164,340	
COGS:								
Variable Direct Costs	1,013,732	0.169	1,053,342	0.184	771,782	0.175	722,206	0.173
Flight Support (1000)	755,242	0.126	787,084	0.138	576,695	0.131	538,631	0.129
	1,768,974		1,840,426		1,348,477		1,260,837	
Gross Margin	4,233,555	0.705	3,872,807	0.678	3,068,445	0.695	2,903,503	0.697
Operating Costs:								
Sales expenses (2000)	134,865	0.022	138,900	0.024	117,983	0.027	111,485	0.027
Maintenance (3000)	485,512	0.081	510,102	0.089	373,751	0.085	349,082	0.084
Depreciation (5000)	269,729	0.045	281,473	0.049	264,022	0.060	242,362	0.058
Airport expenses (7000)	242,756	0.040	252,165	0.044	184,761	0.042	172,566	0.041
	1,132,862		1,182,640		940,517		875,495	
Operating Profit	3,100,693	0.517	2,690,167	0.471	2,127,928	0.482	2,028,008	0.487
Non-operating expenses:								
Financing, fees, taxes (4000)	755,242	0.126	783,004	0.137	761,080	0.172	717,969	0.172
Admin costs (6000)	53,946	0.009	56,287	0.010	53,585	0.012	47,592	0.011
	809,188		839,291		814,665		765,561	
Pre-tax profit	2,291,505	0.382	1,850,876	0.324	1,313,263	0.297	1,262,447	0.303

Q3. Overhead Allocation Rates

	2015	2016	2017	2018
Variable Direct Costs	1,013,732	1,053,342	771,782	722,206
Total Overhead Costs	2,697,292	2,809,015	2,331,876	2,179,686
Allocation Rate	2.661	2.667	3.021	3.018

The rate increases in 2017 and 2018 relative to prior years because overhead costs do not decline as much as the variable direct costs used as the base (because many of the overhead costs are fixed or partly fixed) so the numerator declines more slowly than the denominator.

Change in VDC	-26.7%
Change in overhead costs	-17.0%
Change in revenues	-22.7%

Q4.

									2015		2016		2017		2018		2019F (b3)		
	2019F (a)		2019F (b1)		2019F (b2)		2019F (b3)												
									Total Variable D	1,013,731	1,053,342		771,782		722,205		542,206		
Revenue	4,164,340		3,324,330		3,324,330		3,324,330		Overhead by account										
Variable direct costs	722,206	0.173	542,205	0.163	542,205	0.163	542,205	0.163	1000	755,242	0.745	787,084	0.747	576,695	0.747	538,631	0.746	406,655	0.75
Overhead costs	2,179,686	0.523	2,179,686	0.656	1,809,139	0.544	1,738,729	0.523	2000	134,865	0.133	138,900	0.132	117,983	0.153	111,485	0.154	111,485	
Total costs	2,901,892	0.697	2,721,891	0.819	2,351,344	0.707	2,280,934	0.686	3000	485,512	0.479	510,102	0.484	373,751	0.484	349,082	0.483	260,259	0.48
									4000	755,242	0.745	783,004	0.743	761,080	0.986	717,969	0.994	717,969	
EBIT	1,262,448	0.303	602,439	0.181	972,986	0.293	1,043,396	0.314	5000	269,729	0.266	281,473	0.267	264,022	0.342	242,362	0.336	242,362	
									6000	53,946	0.053	56,287	0.053	53,585	0.069	47,592	0.066	47,592	
Overhead rate	3.02		4.02		3.34		3.21		7000	242,756	0.239	252,165	0.239	184,761	0.239	172,566	0.239	130,129	0.24
										2,697,292	2.661	2,809,015	2.667	2,331,877	3.021	2,179,687	3.018	1,738,729	

(a) Assume we keep Route 7.

(b1) Assume we drop Route 7 and total overhead costs stay constant (revenue = 2018 revenue minus that from Route 7; VDC = 2018 \

(b2) Assume we drop Route 7 and total overhead costs decline by 17.0%, as they did in 2017 (drop in VDC is assumed similar in 2017

(b3) Assume we drop Route 7 and total overhead costs estimated as either fixed (for 2000, 4000, 5000, 6000, which do not decline relative to 2018 levels) or variable (for 1000, 3000, 7000, which decline proportionately)

It seems clear that we should keep Route 7, because that is what results in highest profit. By focusing on percentage margins computed after allocating overhead, we risk a "death spiral" scenario -- as we cut product lines, more overhead gets allocated to the remaining products. The basic problem is that cutting product lines does not necessarily result in cutting costs, which means the focus should be on what costs are actually avoidable as we downsize the business.

An important "red flag" is the fact that overhead costs are substantially larger than the variable direct costs used as the allocation base, which means we have probably got the wrong allocation base.

The case also illustrates why what management needs to focus on is total revenues versus total costs (or operating cash inflows minus cash outflows necessary to run the business) -- if this declines or becomes negative, we have a problem.

Q5.

The two key non-financial factors that seem relevant here are customer satisfaction and employee morale and loyalty.

Under the company's original business model, its employees understood and had been committed to its strategy of providing premium service to customers by staying a relatively small regional airline that focused on delivering high quality on its seven routes. The changes made in early 2017 – to drop Routes 2 and 4 and cut costs (including personnel) – meant that this longstanding strategy was compromised to increase profitability. The case indicates that “internal opposition against the proposed strategic measures was strong” which tells us that many employees disagreed with the move, likely leading to dissatisfaction and poorer performance, including lower customer service. This is likely exacerbated the airline's declining performance.

Put differently, the numbers we have produced focus on the financial effects of dropping routes, and assume nothing else changes. However, if the cuts and other changes have adverse effects on employee loyalty and/or customer satisfaction, there could be additional adverse effects on financial performance. It's hard to measure and quantify such effects but it's difficult to believe they don't have an effect – the [recent history](#) of Qantas is a case in point of how things improved after there was a return to a customer-centric strategy.